TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

Business growth

Section 5
5.1 Economies and diseconomies of scale



A revision lesson. Pupils run a car dealership in firms of four and revise business growth on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Bulk order saving

Round 1

One big order.

Saved on the whole order?

List price per car	**£17,000**
Discount on big orders	**5%**
Cars in the big order	**11 cars**

ANSWER

£9,350

11 × 5% × £17,000 = £9,350

Why: Each car saves £850. The order saves £9,350.

2 Economies of scale

Round 1

Your firm doubles in size.

Which two are economies of scale?

A Higher rent for a bigger site
B Cheaper loans as a bigger firm
C Staff feel less valued
D Slower decisions
E Bulk discounts from suppliers

ANSWER

✓ Cheaper loans as a bigger firm
✓ Bulk discounts from suppliers

Why: Bulk buying and cheaper finance cut the cost per car.

3 Rank cost per car

Round 2

Three dealers: total costs and cars sold.

Order by cost per car, lowest first?

A £200,000 for 80 cars
B £50,000 for 10 cars
C £90,000 for 30 cars

ANSWER

1. £200,000 for 80 cars
2. £90,000 for 30 cars
3. £50,000 for 10 cars

Why: £2,500, £3,000, £5,000 a car.

Topic tasks

4 Unit cost per car

Round 2

A month of sales.

Unit cost: cost per car sold?

Fixed costs, a month	**£3,600**
Variable costs, a month	**£133,200**
Cars sold a month	**8 cars**

ANSWER

£17,100

(£3,600 + £133,200) ÷ 8 = £17,100

Why: Unit cost is all the costs shared between the cars.

5 Branch or takeover

Round 3

You want to grow with little risk: one more branch paid from profit, or a takeover on a big loan.

Which should you choose, and why?

A One more branch from profit

B A takeover on a big loan

ANSWER

✔ One more branch from profit

Why: Growing from profit avoids a big debt and a firm you do not know.

6 Bigger yard saving

Round 3

A bigger yard?

Fall in cost per car?

Total costs now	**£157,500**
Cars sold now	**15 cars**
Total costs, big yard	**£277,200**
Cars sold, big yard	**28 cars**

ANSWER

£600

£157,500 ÷ 15 = £10,500; £277,200 ÷ 28 = £9,900

Why: The bigger yard cuts the cost of each car by £600.

Final questions

Each pupil answers 6 final questions on business growth. They come from these 11 questions.

1 Which action is an example of organic growth for a motor retailer?
✔ **Opening another branch with its own money**

2 A dealer group combines branch orders and negotiates a lower unit price from a supplier. What is the direct benefit?
✔ **Lower cost per part**

3 A dealer group expands rapidly and decisions slow because branches and head office communicate poorly. What is this an example of?
✔ **A diseconomy of scale**

4 An entrepreneur opens a branded vehicle-rental outlet using the parent company's name and system in return for fees. What arrangement is this?
✔ **A franchise**

5 A dealer buys an established repair chain instead of building new sites itself. What is a main potential advantage of this external growth?
✔ **Faster access to operating sites, customers and skilled staff**

6 Before the CEO opens a second branch, what should be checked?
✔ **Demand, finance and staffing**

7 A dealer group buys 500 tyres at once and pays less per tyre than a small garage does. Which economy of scale is this?
✔ **Purchasing economies**

8 A dealer's total costs are £600,000 for 300 cars. After growing, they are £880,000 for 500 cars. What happens to the cost per car?
✔ **It falls by £240**

9 A large dealer group buys 500 cars at once and pays a lower price for each car. Which economy of scale is this?
✔ **Purchasing economies**

10 A workshop's costs are £36,000 for 300 services a month. Next month it does 400 services for £40,000. What is the new cost per service?
✔ **It falls to £100**

Final questions

11 A dealer group grows to 30 sites. Messages from head office now take days to reach staff. What is this an example of?

✔ **A diseconomy of scale**